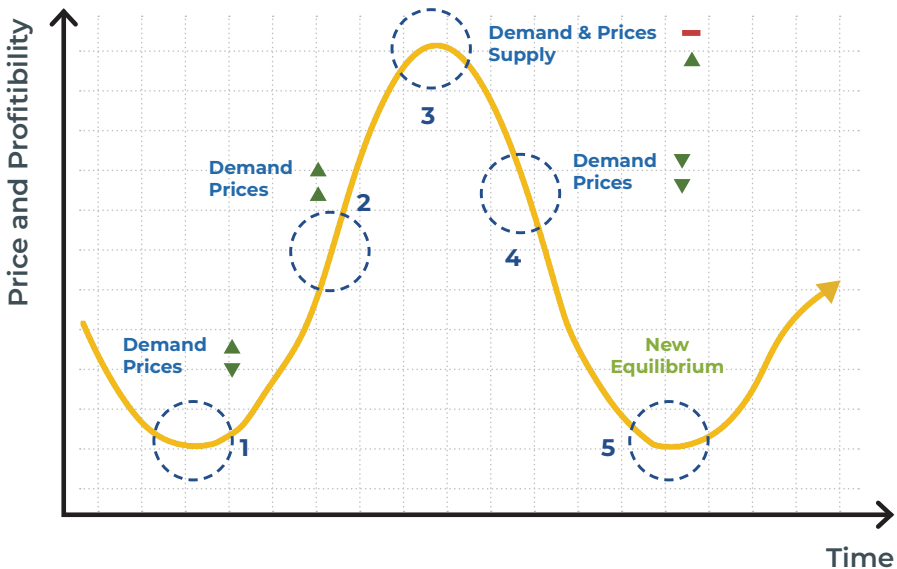


# Demand-Supply Scenario in Industry

All industries have their profitability determined by the demand and supply forces affecting the industry, whether they are seasonal, cyclical, or structural. Firms in any industry are impacted by the under-capacity and over-capacity in the industry. The profitability for the firm changes along with demand and supply changes.



The **five phases** of the business cycle are:

## Phase 1

In phase 1, an increase in demand for the product causes it to exceed its supply. When demand exceeds supply, both price and profitability rise. The surge in demand relates to economic growth, increased innovation, or basic economics where lower prices lead to higher demand.<sup>[8]</sup>

## Phase 2

As prices start rising, more producers see their margins expand. This calls for larger capital spending to increase production as well as a fresh entry from outsiders. During this time, prices continue to rise higher, thus continuously inviting fresh capital.